CAUTIOUS CONFIDENCE

INDIA INC'S CONFIDENCE IMPROVES AHEAD OF THE FESTIVE SEASON, BUT THE WEST ASIA CONFLICT, HIGH OIL PRICES, AND UNCERTAIN CONSUMER DEMAND KEEP BUSINESSES ON GUARD **BY SURABHI**

MIXED SIGNALS

The *BT*-C Fore BCI for Q3FY27 reveals that the conflict in West Asia and concerns over poor monsoon have kept sentiment muted

West Asia war remains the top concern in Q3FY27; most have slowed capex plans

Experts concerned over inflationary pressures from surging crude oil prices, below normal rains

Business confidence in Q3FY27 has improved compared to Q2FY27 but remains below the 50-mark

Companies hopeful that festive season will bring some improvement in demand but hiring plans are conservative

BUSINESSES ACROSS SECTORS and sizes are more optimistic about the economy for the upcoming October-December quarter, but the improvement in sentiment comes with a dose of caution, and little sign that companies are ready to loosen their purse strings.

The *BT*-C Fore Business Confidence Index (BCI) rose to 48.2 on a scale of 100 for the third quarter of FY27 from 44.6 in the previous quarter, driven in part by expectations of higher festive-season demand. However, it remained below the 50-mark for the third consecutive quarter, suggesting subdued corporate sentiment.

Companies are wary about the renewed conflict in West Asia, with crude oil prices trading above $100 a barrel, while deficient rains have raised concerns about rural incomes and inflation. A fresh risk has also emerged from the possibility of 100% US tariffs on countries buying Russian crude, including India.

The caution is evident in what companies plan to do. Only 11% of the 500 chief executive officers and chief financial officers surveyed plan to hire more workers for the festive season, while 14% say they are laying off workers and 52% have no plans to hire. On the investment front, just 6% plan to expand facilities or increase capital investments.